

Procurement Circular No. 4/2023

Revised Quotation Threshold for Purchases

Reference: JPDS/PRO/C/4/2023

Date: 17 April 2023

To:

All Heads of Division and Heads of Unit

All Procurement Officers

Jabatan Pembangunan Digital Sarawak

Purpose

1. This circular revises the monetary threshold at which a formal written quotation is required for the purchase of goods and services by the Department.
2. This circular supersedes Circular No. 5/2021.

Background

3. Since 2021, prices of equipment and services have risen and the volume of routine purchases has grown, particularly for information technology items. A review by the Procurement Department found that the previous RM20,000 limit delayed urgent purchases without a measurable saving. The Department Management Committee approved a revision at its meeting on 28 March 2023.

Revised Threshold

4. Purchases of goods or services with a value of up to RM50,000 per transaction may be made by direct purchase with the approval of the Head of Division. The threshold was previously RM20,000.
5. Purchases above RM50,000 and up to RM200,000 require a minimum of three (3) written quotations from registered suppliers, evaluated using Form PRO-03 (Quotation Evaluation Form).
6. Purchases above RM200,000 must be carried out through open tender. Purchases above RM50,000 must also follow the approval workflow in the Procurement Approval SOP.

Conditions

7. A requirement must not be split into several smaller purchases to stay below the RM50,000 threshold. Officers found splitting purchases will be referred to the Internal Audit Unit and may face disciplinary action.
8. Suppliers must be registered with the State Supplier Registry and hold a valid registration certificate on the date of quotation.
9. The quotation period shall be at least five (5) working days. This is shortened from seven (7) working days in the previous circular.
10. The Quotation Committee shall have at least three (3) officers and shall be chaired by an officer of Grade 41 or above.
11. Direct purchases between RM20,001 and RM50,000 must be recorded in the e-Procurement system, and the supporting Form PRO-05 (Direct Purchase Justification) must be attached.

Records

12. Every Head of Division shall keep a Purchase Register and submit a summary to the Procurement Department by the fifth (5th) day of every month.
13. Quotation documents shall be kept for a minimum of seven (7) years from the date of award.

Effective Date

14. This circular takes effect on 1 June 2023. Purchase requests approved before that date remain subject to the RM20,000 threshold.

Enquiries

15. Enquiries may be directed to the Procurement Officer, Procurement Department, at extension 3105 or procurement@jpds.example.my.

Thank you.

"SERVING SARAWAK"

I am directed to convey this circular,

(Encik Wong Kee Hiong)

Director of Procurement

Procurement Department

Jabatan Pembangunan Digital Sarawak

cc: Director of the Department

cc: Internal Audit Unit